



STUDY GUIDE • IEUMUN 2026

World Bank

The World Bank Group

Sovereign Debt Distress in Developing Economies: Protecting Development Financing in a Debt Crisis

CHAIRS

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Contents

01	Letter from the Chairs	3
02	List of Abbreviations	5
03	About the Committee	6
	Mandate	6
	Structure: The World Bank Group	7
	Governance and Decision-Making	8
04	About the Topic	9
	Key Terms	9
	Introduction to the Topic	10
	History of the Topic	11
05	Current Situation	14
	Problem Statement	14
	Scope: What This Committee Can and Cannot Do	15
	The Bank's Toolkit	15
06	Key Stakeholders & Bloc Positions	18
	The traditional creditors	18
	China and the newer creditors	18
	The countries that have defaulted	19
	The squeezed borrowers	19
	The G20 South	20
07	Questions a Resolution Must Answer (QARMAs)	21
	Bibliography	22

01

Letter from the Chairs

A LETTER FROM

Nils Bischof & Julius Masrouki

Head Chair & Co-Chair, World Bank Committee, IEUMUN 2026

Dear Delegates,

We, Nils and Julius, are thrilled to welcome you to the first-ever World Bank (WB) committee at IEUMUN 2026. It is truly an honour to serve you as chairs, and we are excited to guide you through a topic that we believe deserves far more attention than it gets: sovereign debt distress in developing economies. We have put a great deal of thought and care into writing this study guide for a committee that is academically rigorous and genuinely enjoyable to debate in, and we can't wait to dive into this topic with you.

Hi there, my name is Nils Bischof, I'm 21 years old, and it is my pleasure to be your Head Chair for the World Bank committee this year! Originally from Germany, I grew up between New York and Frankfurt and I'm now heading into the third year of my bachelor's degree in London, where I study and chase my passion for finance. I started my MUN journey two years ago, and IEUMUN 2024 marked my second conference. By now, I am lucky to say that I have been able to participate in MUN conferences all around the world. I like to call the World Bank my "home turf," as I have delegated in it myself multiple times, most recently earlier this year at Harvard WorldMUN in Peru. Taking on this committee lets me combine my passion for finance with politics, and this year, land on a topic sitting right at that intersection: sovereign debt distress in developing economies. Outside all that, I enjoy going to the gym, brushing up my Spanish skills from time to time, and going on road trips with friends.

Hi everyone, my name is Julius Masrouki, and I'm delighted to be your Co-Chair for the World Bank Committee this year! I'm currently pursuing a BBA at Hult International Business School, where my interests span finance, entrepreneurship, business development, and international affairs, and outside of university I've picked up experience in sales and investment-related projects. What drew me to MUN was the mix of diplomacy, strategy, negotiation, and public speaking it demands, along with the chance to meet people from completely different backgrounds. I attended IEUMUN 2025 as a delegate, so it means a great deal to me to come back this year on the other side of the table as Chair. In my free time, I enjoy swimming, training and occasionally practicing martial arts. I'm also a big car enthusiast so I spend probably a little too much time driving around, which, given the current gas prices, might not be my smartest hobby financially.

Above all, our goal for this committee is high-quality debate: we want you to challenge each other's views, think critically, and push past the positions you walked in with, while having fun along the way. As chairs, we want to build a space where you feel comfortable stepping outside your comfort zone, and where delegates learn from each other. We're here to support you every step of the way, so don't hesitate to reach out if you ever need guidance (nilsbischof@web.de & julius@masrouki.com). We can't wait to meet you all and see where you take this committee.

Best,

Nils & Julius

02

List of Abbreviations

CRDC	Climate Resilient Debt Clause
DSA	Debt Sustainability Analysis
DSEP	Debt Sustainability Enhancement Program
DSSI	Debt Service Suspension Initiative
GNI	Gross National Income
HIPC	Heavily Indebted Poor Countries Initiative
IBRD	International Bank for Reconstruction and Development
ICSID	International Centre for Settlement of Investment Disputes
IDA	International Development Association
IFC	International Finance Corporation
IMF	International Monetary Fund
MDRI	Multilateral Debt Relief Initiative
MIGA	Multilateral Investment Guarantee Agency
PCO	Program of Creditor Outreach
QARMAs	Questions a Resolution Must Answer
SDFP	Sustainable Development Finance Policy

03

About the Committee

Mandate

The World Bank is the world's largest development institution, providing over US\$100 billion per year through loans, grants, and guarantees.¹ It was established alongside the International Monetary Fund (IMF) at the 1944 Bretton Woods Conference, and before turning its attention to the developing world, its initial purpose was to finance the reconstruction of Europe after the Second World War.² Today, the Bank has two targets: to end extreme poverty and to boost shared prosperity. In contrast to the IMF (which was created to safeguard the stability of the global monetary and financial system), the World Bank was created to finance long-term development. Such as roads, energy supply, schools, hospitals, and institutions that facilitate growth in poorer countries.

Apart from its loan book, the Bank has a wide range of tools that together define its influence. Its financing typically comes with conditions: a borrowing government may be asked to meet requirements on transparency, fiscal management, or the protection of minimum levels of social spending as part of the arrangement.³ Beyond money, the Bank is one of the world's most important producers of economic data and analytical frameworks that governments, markets, and other institutions rely on to assess risk and guide policy. Additionally, the Bank acts as a convener, bringing together parties, including governments, creditors, and international organisations, to address challenges that no single actor can resolve alone.

¹ World Bank. (2025a). Annual report 2025. World Bank Group. <https://www.worldbank.org/en/about/annual-report>

² World Bank. (n.d.-a). International Bank for Reconstruction and Development. <https://www.worldbank.org/en/who-we-are/ibrd>

³ International Development Association. (2023). Debt. World Bank. <https://ida.worldbank.org/en/financing/debt>

Structure: The World Bank Group

It is important to be precise about what “the World Bank” means. Strictly, the institution is the World Bank Group (WBG), a family of five organisations.⁴ Two of them are responsible for lending to governments and are together often referred to as “the World Bank”:

The International Bank for Reconstruction and Development (IBRD) lends to middle-income and creditworthy lower-income governments. It raises the vast majority of its money by issuing bonds on international capital markets. Because it holds a triple-A credit rating, it can borrow cheaply and pass these favourable terms on to borrowers.⁵ IBRD loans are offered at close to market rates, similar to the terms a well-rated sovereign borrower would receive.

The International Development Association (IDA) is the Bank’s concessional arm, meaning it lends on far softer terms than any commercial lender would offer, and increasingly provides grants to the world’s poorest countries.⁶ A country generally becomes IDA-eligible when its gross national income (GNI) per capita falls below US\$1,325, and/or the country lacks creditworthiness to borrow from the IBRD.⁷ Unlike the IBRD, the IDA is funded largely by contributions (“replenishments”) negotiated every three years by donor governments.⁸

Three other institutions complete the Group and are worth knowing to understand the World Bank Group and its scope as a whole. The International Finance Corporation (IFC) is the Group’s private-sector arm that invests directly in private companies in developing countries to stimulate growth and create jobs. The Multilateral Investment Guarantee Agency (MIGA) encourages investment into these economies by insuring private investors against political risks such as expropriation, conflict, or a government blocking the transfer of currency abroad. The International Centre for Settlement of Investment Disputes (ICSID) serves as a forum for solving legal disputes between foreign investors and host governments. For the purposes of this committee, the two actors that matter most are the IBRD and, above all, IDA, since their lending to national governments is what this committee’s topic is all about. Although the IFC, MIGA, and ICSID work in a different lane,

⁴ World Bank Group. (n.d.). Who we are. <https://www.worldbank.org/en/who-we-are>

⁵ World Bank. (n.d.-a). International Bank for Reconstruction and Development. <https://www.worldbank.org/en/who-we-are/ibrd>

⁶ International Development Association. (2024). History: What is IDA? World Bank. <https://ida.worldbank.org/en/about/history>

⁷ International Development Association. (2026). Financing. World Bank. <https://ida.worldbank.org/en/financing>

⁸ Congressional Research Service. (2025). The World Bank (IF11361). <https://www.congress.gov/crs-product/IF11361>

delegates looking for creative approaches may still find that the Group's wider toolkit has something to offer for their solutions.

Governance and Decision-Making

At IEUMUN, the World Bank will run like any other General Assembly committee. Each delegation holds one equal vote. Debate runs through moderated and unmoderated caucuses, and delegates work together toward a resolution, which is debated upon and adopted by majority vote. At the real World Bank, votes are weighted by financial contribution, which is a major reason reform can be particularly difficult. The most fundamental decisions require an 85% supermajority, and the US, for example, holds roughly 16% of the vote, effectively giving it veto power.⁹ Our committee sets that feature aside, but delegates should keep in mind that in reality, the Bank's largest shareholders cannot simply be outvoted.

⁹ Congressional Research Service. (2025). The World Bank (IF11361). <https://www.congress.gov/crs-product/IF11361>

04

About the Topic

Key Terms

Sovereign debt is money borrowed by a national government. Its lenders, called creditors, are either multilateral institutions (such as the World Bank and the IMF), bilateral creditors (other governments, for example, China, France, or Japan), or private creditors (commercial banks and bondholders, the investors who buy a government's bonds). This committee focuses on external debt, meaning what a government owes to foreign creditors.

Debt service is the recurring cost of carrying debt: the interest and principal that fall due each year. It is debt service, not the headline size of the debt, that squeezes budgets year to year, because it must be paid out of the annual budget in direct competition with everything else a government needs to fund.

Debt sustainability describes the ability of a country to meet its current and future debt obligations without requiring unrealistic fiscal adjustment or sacrificing essential public spending.

Refinancing / rollover risk. Governments rarely repay debt out of their cash reserves. When bonds mature, they issue new ones to refinance. Therefore, debt borrowed cheaply a decade ago must be refinanced at today's interest rates. This means that a bond issued at 4% can mature into an 8% market, leading to refinancing at more expensive terms for the government. This "maturity wall" explains why many developing-country debt burdens jumped after 2022.

Default vs. debt distress. A default is the event of missing a payment or formally failing to honour an obligation. Debt distress is the broader, more common condition that the World Bank and IMF grade on a four-band scale, from low risk to in debt distress (International Monetary Fund, 2025). Many countries, although not in outright default, can only honour their obligations by cutting into healthcare, education, and investment spending.

Debt restructuring. In the case of a default, a country renegotiates the terms with its creditors. Negotiations may lead to an extension of the repayment period, a reduction in the interest rate, or a write-down of part of the principal. While restructuring does not erase the debt, it reshapes it into something more manageable for the country. Because they require creditor agreement, restructurings can be complex and take many years.

Concessional vs. non-concessional finance. Concessional finance is lending on terms softer than any market would offer. This can include below-market interest, long repayment periods, and extended grace periods before repayment begins. Grants do not have to be repaid at all.

The Paris Club. An informal group of mostly Western creditor governments that has, since 1956, coordinated the rescheduling or reduction of debts owed to them. It has no treaty or headquarters and runs on the core principle of comparable treatment: a debtor is expected to obtain equally good terms from all its other creditors.

The G20 Common Framework. Agreed in November 2020, this is the main mechanism for restructuring the debts of the poorest countries. It was meant to improve on the Paris Club by bringing in major emerging creditors, including China, India, and Saudi Arabia.

Introduction to the Topic

Although sovereign debt distress is not a new phenomenon, the modern story of this committee is best understood through a clear causal chain. Through the 2010s, money was historically cheap: interest rates in the wealthy parts of the world were near zero, and investors, hunting for higher returns, lent eagerly to developing countries. Governments across Africa, Asia, and Latin America borrowed heavily to fund development. Much of this borrowing increasingly came from a more diverse range of creditors, including bilateral lenders and international capital markets, rather than primarily from traditional concessional sources.¹⁰ Borrowing continued to rise during the COVID-19 pandemic, as countries sought additional financing to survive the crisis. At the beginning of 2022, central banks raised interest rates sharply to fight inflation that emerged from the pandemic and the energy shock following the Russia-Ukraine War.¹¹ When developing countries' relatively cheap debt came due and had to be refinanced at the new, higher rates, their

¹⁰ World Bank. (2022b, December 6). Debt-service payments put biggest squeeze on poor countries since 2000. <https://www.worldbank.org/en/news/press-release/2022/12/06/debt-service-payments-put-biggest-squeeze-on-poor-countries-since-2000>

¹¹ Mosley, L., & Rosendorff, B. P. (2023). The unfolding sovereign debt crisis. *Current History*, 122(840), 9–14. <https://doi.org/10.1525/curh.2023.122.840.9>

debt-service costs rose sharply. What makes this a World Bank problem is that when a country struggles to service its debt or falls into default, its ability to invest in development is directly threatened, which is exactly what the World Bank exists to protect.¹²

In 2024, developing countries paid a record US\$415 billion in interest alone, resources that could otherwise have gone to schooling, primary healthcare, and essential infrastructure.¹³ Between 2022 and 2024, developing countries paid out US\$741 billion more in debt service than they received in new financing, marking the largest such net outflow in over 50 years.¹⁴

In contrast to the IMF, the World Bank is not the institution that runs emergency bailouts. It is the one that finances these countries' development over decades, and it is now the single-largest provider of net new financing to the 78 most vulnerable countries.¹⁵ Its relationship to the debt crisis is threefold. First, the Bank is a major creditor and actively varies the terms of its lending based on a country's debt risk. Second, it is a standard-setter, co-author of the world's debt-risk scoring system and the leading voice on debt transparency. Third, when distress hits, it helps prevent a debt crisis from becoming a development collapse.^{16 17}

History of the Topic

The Bank's role in sovereign debt crises has evolved through several major episodes. A key starting point is the Latin American debt crisis of the 1980s, when a wave of developing countries (Mexico, Brazil, Argentina, and many others) found themselves unable to service debts accumulated in the 1970s after global interest rates spiked. The decade

¹² World Bank. (2026, February 17). Beyond the narratives: What the IDR 2025 data reveal about debt in low- and middle-income countries. <https://blogs.worldbank.org/en/opendata/beyond-the-narratives--what-the-idr-2025-data-reveal-about-debt->

¹³ World Bank. (2025b, December 3). Developing countries' debt outflows hit 50-year high during 2022-2024. <https://www.worldbank.org/en/news/press-release/2025/12/03/developing-countries-debt-outflows-hit-50-year-high-during-2022-2024>

¹⁴ World Bank. (2025b, December 3). Developing countries' debt outflows hit 50-year high during 2022-2024. <https://www.worldbank.org/en/news/press-release/2025/12/03/developing-countries-debt-outflows-hit-50-year-high-during-2022-2024>

¹⁵ World Bank. (2025b, December 3). Developing countries' debt outflows hit 50-year high during 2022-2024. <https://www.worldbank.org/en/news/press-release/2025/12/03/developing-countries-debt-outflows-hit-50-year-high-during-2022-2024>

¹⁶ International Development Association. (2023). Debt. World Bank. <https://ida.worldbank.org/en/financing/debt>

¹⁷ World Bank. (n.d.-d). Debt (topic overview). <https://www.worldbank.org/en/topic/debt/overview>

that followed became known as the “lost decade” for development, because years of austerity and debt repayment left many economies stagnant.¹⁸

In 1996, the World Bank, the IMF, and regional development banks launched the Heavily Indebted Poor Countries (HIPC) Initiative, the first programme in which multilateral institutions agreed to cancel a portion of the debts owed to them by the poorest countries.¹⁹ HIPC was strengthened in 1999, and in 2005 the G8 went further, agreeing to the Multilateral Debt Relief Initiative (MDRI), which cancelled 100% of eligible debts owed to IDA, the IMF, and the African Development Fund by countries that completed the HIPC process.²⁰ Together, HIPC and MDRI have relieved 37 participating countries (31 of them in Africa) of more than US\$100 billion in debt, explicitly to free up money for poverty reduction.²¹ This history shows the Bank can act on debt and offers both a model and a warning, as several countries that received relief borrowed their way back into distress within fifteen years.

The relative calm after HIPC paved the way for a new borrowing boom after 2008, when cheap money and new lenders transformed the creditor landscape. Crucially, the share of debt owed to the traditional, coordinated Paris Club creditors fell from 28% to 11% by 2020, while debt owed to non-Paris Club bilateral lenders such as China rose from 2% to 18%.²² At the same time, borrowing from private bondholders also increased. This shift, from a small club of creditors with a framework to restructure debt together to a fragmented crowd, is one of the reasons today’s crisis is so hard to resolve.

The most recent chapter is the pandemic. In 2020, at the urging of the World Bank and IMF, the G20 launched the Debt Service Suspension Initiative (DSSI), which temporarily suspended debt-service payments for the poorest countries so they could spend on the pandemic response. Between May 2020 and December 2021, the DSSI suspended US\$12.9 billion in payments for 48 of 73 eligible countries.²³ But it revealed one of the central issues of the new creditor landscape: of all the world’s private creditors, only one agreed to participate, meaning public money freed up by official creditors effectively flowed straight to private bondholders. For more severe cases, the G20 created the

¹⁸ Federal Reserve History. (2013). Latin American debt crisis of the 1980s. Federal Reserve Board. <https://www.federalreservehistory.org/essays/latin-american-debt-crisis>

¹⁹ World Bank. (n.d.-b). Heavily Indebted Poor Countries (HIPC) Initiative. <https://www.worldbank.org/en/topic/debt/brief/hipc>

²⁰ World Bank. (n.d.-c). Debt relief. <https://www.worldbank.org/en/topic/debt-relief>

²¹ World Bank. (n.d.-b). Heavily Indebted Poor Countries (HIPC) Initiative. <https://www.worldbank.org/en/topic/debt/brief/hipc>

²² Observer Research Foundation. (2022, June 28). G20’s Debt Service Suspension Initiative: A historical comparison. <https://www.orfonline.org/expert-speak/g20s-debt-service-suspension-initiative>

²³ World Bank. (2022a). Debt Service Suspension Initiative. <https://www.worldbank.org/en/topic/debt/brief/COVID-19-debt-service-suspension-initiative>

Common Framework for Debt Treatments in late 2020, which sought to bring together Paris Club members and the major emerging creditors.

Landmark / Milestone	Year	Summary
Latin American Debt Crisis	1980s	A wave of developing country defaults, triggered by spiking global interest rates, led to years of austerity and stagnant growth, known as the “lost decade.” The World Bank and IMF made loans conditional on economic reforms, an approach that drew heavy criticism.
HIPC Initiative launched (World Bank & IMF)	1996	The first programme in which multilateral creditors agreed to cancel portions of their own claims. By 2005, HIPC had provided relief to 37 countries, mostly in Africa, with conditions tied to poverty-reduction strategies.
Multilateral Debt Relief Initiative (MDRI)	2005	G8 nations agreed to cancel 100% of eligible debts owed to IDA, the IMF, and the African Development Fund for HIPC graduates, freeing resources for the UN Millennium Development Goals.
Post-2008 borrowing boom & new creditors	2010s	Near-zero global interest rates and eager new lenders, above all China via the Belt and Road Initiative, fuelled a surge in developing-country borrowing. The creditor landscape shifted dramatically away from the Paris Club.
COVID-19 pandemic & DSSI	2020–2021	The G20 launched the DSSI, suspending US\$12.9 billion in debt-service payments for 48 countries. Private creditors almost entirely refused to participate. The G20 Common Framework was created to handle more severe cases.
Post-2022 rate shock & current wave of distress	2022–present	Sharp interest rate hikes in advanced economies triggered the refinancing crisis described above. Developing countries paid a record US\$415 billion in interest in 2024 alone. The Common Framework has struggled with slow, contested restructurings.

05

Current Situation

Problem Statement

The causal chain described in the “Introduction to the Topic” is not an abstract story: it has produced the developing world’s most acute debt pressures in a generation. The combined external debt of low- and middle-income countries reached an all-time high of US\$8.9 trillion in 2024, of which a record US\$1.2 trillion is owed by the 78 poorest countries eligible to borrow from IDA.²⁴ The proportion of IDA-eligible countries assessed as being at high risk of, or already in, debt distress has risen sharply, from roughly 30% in 2012 to approximately 58% by 2021.²⁵ Well over half of the world’s poorest countries are now in or near a debt trap, leaving less money for development spending.

What makes this crisis particularly hard to solve is that no single institution can resolve it alone. In past crises, debt was largely owed to a coordinated group of Western governments (the Paris Club) and could be restructured at a single table. Today, debt is owed to a fragmented creditor landscape, with China now being the largest single bilateral lender to many developing countries.²⁶ Additionally, private bondholders, a class with no collective body to negotiate with, are the fastest-growing class of creditors, even in the poorest IDA economies.²⁷ This fragmentation, combined with higher refinancing rates, has turned a large debt stock into a complex crisis to solve.

²⁴ World Bank. (2025b, December 3). Developing countries’ debt outflows hit 50-year high during 2022-2024. <https://www.worldbank.org/en/news/press-release/2025/12/03/developing-countries-debt-outflows-hit-50-year-high-during-2022-2024>

²⁵ Independent Evaluation Group. (2023). How the Low-Income Country Debt Sustainability Framework informs World Bank corporate and operational decisions (Chapter 7). World Bank Group. <https://ieg.worldbankgroup.org/evaluations/world-banks-role-and-use-low-income-country-debt-sustainability-framework>

²⁶ Lowy Institute. (2025, May). Peak repayment: China’s global lending. <https://interactives.lowyinstitute.org/features/peak-repayment-china-global-lending/>

²⁷ World Bank. (2026, February 17). Beyond the narratives: What the IDR 2025 data reveal about debt in low- and middle-income countries. <https://blogs.worldbank.org/en/opendata/beyond-the-narratives--what-the-idr-2025-data-reveal-about-debt->

Scope: What This Committee Can and Cannot Do

Because sovereign debt is a crowded field of institutions, delegates must be disciplined about staying inside the World Bank's mandate. The Bank is not the body that restructures sovereign debt, declares countries bankrupt, provides emergency balance-of-payments bailouts, or sets monetary and exchange-rate policy. Those functions belong to the IMF, to creditor groupings such as the Paris Club and the G20, and ultimately to debtor governments and their creditors negotiating directly.²⁸ The Bank nonetheless sits inside that process, as a creditor itself, as the provider of the debt data on which restructuring depends, and as the institution that protects development finance during crises.²⁹

What the Bank can do is the substance of this committee, and it is broader than may first appear. When developing solutions, delegates should keep in mind that the Bank's instruments only work through its own levers, or by indirectly shaping the choices other actors make. It can never force an outcome on a country or institution that is not its own. Countries listen to the Bank because they depend on its financing, policy advice, and technical expertise. At the same time, how it treats a country's debt directly shapes how international markets evaluate that country's creditworthiness. This gives the Bank real influence, and with it, real responsibility for how that influence is used. In practice, this means it can adjust the terms and conditions attached to its lending, introduce new standards for creditors and borrowers, or build cooperation among actors toward common responses. A more detailed description of how concrete measures can unfold is provided in "The Bank's Toolkit" section below. The art of this committee is to craft solutions that tackle the underlying issues of debt distress while staying within the Bank's powers.

The Bank's Toolkit

This section gives three concise examples of specific tools the World Bank can use. It is by no means exhaustive, and delegates may find others that serve as useful building blocks for their own solutions. A good solution names the problem it addresses, sets out a

²⁸ International Monetary Fund. (2022). The IMF and the World Bank (factsheet). <https://www.imf.org/en/about/factsheets/sheets/2022/imf-world-bank-new>

²⁹ Independent Evaluation Group. (2023). How the Low-Income Country Debt Sustainability Framework informs World Bank corporate and operational decisions (Chapter 7). World Bank Group. <https://ieg.worldbankgroup.org/evaluations/world-banks-role-and-use-low-income-country-debt-sustainability-framework>

workable mechanism for how it would function, ideally builds on or enhances something that already exists, and has a real impact on the issue the committee is debating.

Firstly, the World Bank, together with the IMF, prepares Debt Sustainability Analyses (DSAs). A DSA is essentially a checkup of a country's financial health that evaluates whether it can manage its debt obligations sustainably. Although the DSA does not dictate the outcome of a case, it serves as the basis for discussion at the creditor table and is commonly accepted as a shared framework for assessing a nation's debt situation. It also stress-tests the country's economy against shocks, and places it in one of four categories: low risk, moderate risk, high risk, or already in debt distress.³⁰ This rating is important because it determines the mix of IDA grants and loans the country may receive.³¹

Secondly, the Sustainable Development Finance Policy (SDFP) gives the Bank a lever to drive behavioural change in IDA-eligible countries, e.g., by incentivising them to implement policies that promote more sustainable debt management. The SDFP operates through two linked pillars: The Debt Sustainability Enhancement Program (DSEP) and the Program of Creditor Outreach (PCO), which are beyond the scope of this section but delegates may find worth researching independently. The World Bank can use the SDFP to expose hidden debt, modernise tax collection or prevent a country from taking on harmful deals with other lenders. In cases in which countries fail to meet these targets, the Bank can withhold its funding. In summary, this tool supports the alignment of global lending practices to ensure that countries commit to policies that help them overcome a crisis or prevent it from happening in the first place.³²

Thirdly, debt-for-development and debt-for-nature swaps allow countries to exchange expensive debt for cheaper debt, with the condition that the money saved goes to an agreed purpose. The difference between these swaps and the SDFP is that, unlike the SDFP, the swaps are financial transactions that actively refinance old debt into cheaper debt. In December 2024, Côte d'Ivoire was the first country to receive World-Bank-backed debt-for-development swaps. The World Bank provided a €240 million financial guarantee that convinced commercial lenders to offer better terms, which allowed the government to replace close to €400 million of expensive debt with a cheaper loan.

³⁰ International Monetary Fund. (2025). IMF-World Bank Debt Sustainability Framework for low-income countries (factsheet). <https://www.imf.org/en/about/factsheets/sheets/2023/imf-world-bank-debt-sustainability-framework-for-low-income-countries>

³¹ International Development Association. (2023). Debt. World Bank. <https://ida.worldbank.org/en/financing/debt>

³² World Bank. (2025c, May 6). Sustainable Development Finance Policy of the International Development Association: FY25 implementation update and policy enhancements. <https://documents.worldbank.org/en/publication/documents-reports/documentdetail/099051625184539973>

This deal freed up €330 million over five years, which is now being allocated to the development of over 30 schools for 30,000 students.³³ Despite this success, a limitation is that swaps require a country to be solvent, meaning that they are not applicable to countries that have already defaulted.³⁴

Other instruments worth researching include:

- Development Policy Financing (DPF), Program-for-Results Lending (PforR), and Investment Project Financing (IPF): how the Bank disburses financing
- The IDA Debt Reduction Facility (DRF): buying back commercial debt at a discount
- Climate Resilient Debt Clauses (CRDCs): pausing payments after a disaster
- Catastrophe Deferred Drawdown Options (Cat DDOs): contingent financing after a disaster
- The Debtor Reporting System (DRS) and the Debt Management Facility (DMF): debt data and capacity
- Global Sovereign Debt Roundtable (GSDR): World Bank, IMF, and G20-led dialogue on creditor-coordination bottlenecks
- Blended and local-currency finance: reducing financing costs and foreign exchange risk
- Domestic Resource Mobilisation (DRM) support: strengthening tax collection

³³ World Bank Group. (2025, February 27). Innovative finance for education: How Côte d'Ivoire's debt swap is creating new opportunities (MIGA case study). <https://www.miga.org/case-study/innovative-finance-education-how-cote-divoires-debt-swap-creating-new-opportunities>

³⁴ World Bank. (2024d, December 5). How are countries trading debt for development? A closer look at debt swaps. <https://www.worldbank.org/en/topic/debt/brief/how-are-countries-trading-debt-for-development>

06

Key Stakeholders & Bloc Positions

This committee reflects a microcosm of the crisis it debates. Traditional creditors, their challengers, and the countries who are struggling with sovereign debt all sit at the same table. The room divides almost evenly between the creditor and borrower sides. Although this section does not capture every dynamic at play, it provides a comprehensive overview of the core perspectives of the committee and helps delegates identify their country's role in the debate. Several delegations align with more than one perspective, and every delegate should research their own government's views.

The traditional creditors

This bloc gathers established creditor governments, including the G7 economies, several smaller European donors, and South Korea. They form the core of the Paris Club and provide most of the IDA's funding. What unites them is the principle of comparable treatment, meaning that public money should not repay creditors who refuse equal terms. Delegates from this bloc can be expected to push for every creditor to be held to that same standard, for greater debt transparency on the debtor side, and to resist proposals that would result in losses on what they, or the Bank, are owed.

China and the newer creditors

These countries lend outside the Paris Club and are seeking influence that matches their contributions, without having to commit to rules such as the Paris Club's comparable treatment. Countries include Gulf States and India, while China is the biggest bilateral lender to many developing countries, and one of the World Bank's largest shareholders at the same time. As Zambia's case shows, China preferred extending maturities over

writing off principal, and it even pushed for the World Bank to share the losses, which the Bank refused.³⁵ This bloc wants to be treated as equal at the table and is likely to call for recognition of their lending on their own terms, freedom to keep loan contracts confidential, and case-by-case treatment of deals rather than collective frameworks.

The countries that have defaulted

A notable number of countries in this committee have defaulted at some point in history, and Ghana, Zambia, and Sri Lanka are only a few of them. These countries know the struggle firsthand, and just because they restructured doesn't mean that they are stable again. In fact, they still heavily depend on the Bank for ongoing support in their recovery, or in case their situation worsens again. In times when private lenders and bilateral creditors pull back, IDA money is often the only money still flowing for development, so they want to protect it, preferably in the form of grants rather than loans. Nations that have defaulted in the past will likely support policies that argue against case-by-case treatment and for more standardised support frameworks. Additionally, they have particular interest in how DSAs are written, since an analysis that treats development spending as something that builds future debt repayment capacity, rather than a pure debt burden, would improve the terms on which they are able to borrow.

The squeezed borrowers

Another group of countries has managed to avoid default so far, but is paying a high price for it. They suffer from the “maturity wall”, which forces them to keep refinancing at higher rates. Kenya, for example, paid double-digit yields in 2024 to meet their obligations.³⁶ These countries will push for cheaper and easier Bank financing just as the defaulted bloc does, but what sets them apart is their interest in the Bank helping them collect more money domestically, because that is what lowers how much they have to borrow in the first place. More specifically, they may be interested in expanding the Bank's Domestic Resource Mobilisation work, which helps governments build effective tax systems to drive revenue. None of them want a worse rating, but a downgrade may have different implications for each country. Countries such as Nigeria and Pakistan draw on IDA money

³⁵ Center for Global Development. (2023, February 24). Will China play its part in addressing African debt distress? <https://www.cgdev.org/blog/will-china-play-its-part-addressing-african-debt-distress>

³⁶ Afronomicslaw. (2024, February 28). One hundred and ninth sovereign debt news update: Kenya successfully issues a new \$1.5 billion Eurobond to buy back the \$2 billion Eurobond due June 2024. <https://www.afronomicslaw.org/category/african-sovereign-debt-justice-network-afsdjn/one-hundred-and-ninth-sovereign-debt-news>

and borrow commercially at the same time, so a high-risk rating would at least soften terms on the IDA side. Egypt, on the other hand, borrows mainly from the IBRD, so for it a worse rating is all cost and no benefit.³⁷

The G20 South

The committee's larger middle-income borrowers face no immediate distress, which puts them in a position to direct their attention to reform the underlying systems rather than only to their own balance sheets. Nations including Brazil, Indonesia, Mexico and South Africa borrow from the IBRD and hold shares in it at the same time, with Indonesia being the IBRD's second largest borrower.³⁸ Some received IDA-financing themselves before they stabilised, making them advocates for fair treatment of both IDA and IBRD borrowers. For example, South Africa made debt sustainability a headline priority for its 2025 G20 presidency, pointing at unsustainable lending terms for African countries.³⁹ Expect nations of this group to look for a balance between sustainable and fair lending practices while ensuring that the World Bank remains strong enough to keep lending at scale.

³⁷ World Bank. (n.d.-f). Egypt, Arab Republic of: Country lending summary. World Bank Group Finances One. <https://financesone.worldbank.org/countries/egypt,%20arab%20republic%20of>

³⁸ Moody's Ratings. (2026, February 19). Credit opinion: International Bank for Reconstruction and Development – Aaa stable. <https://thedocs.worldbank.org/en/doc/512a30a29bc6cbc498fd94401702e2cf-0340022026/original/Final-Credit-Opinion-IBRD-World-Bank-Aaa-stable-19Feb2026.pdf>

³⁹ G20 South Africa. (n.d.). G20 presidency. <https://www.g20.org.za/g20-south-africa/g20-presidency/>

07

Questions a Resolution Must Answer (QARMAs)

- 1 What should the Bank do with its own tools to push creditors toward the table?
- 2 How can the Bank balance financing early, when it is most effective, against the risk of paying off other creditors that refuse comparable treatment?
- 3 How should DSAs shape who gets what, under what constraints should access become easier or harder for countries under debt stress, and how would this be funded?
- 4 How should debt transparency be handled, and what should the Bank do about countries that hide their debt?
- 5 How much risk should the Bank take onto its own balance sheet while protecting its own lending capacity?
- 6 What role should the Bank's capacities as data provider, standard-setter, and policy advisor have in directing governments towards more sustainable debt management?

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